SECTION B – WRITTEN QUESTIONS (TOTAL: 80 MARKS)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (30 marks – approximately 54 minutes)

Super Limited ("SUL") is a company incorporated in Hong Kong and is principally engaged in the sales of electronic products. To expand its business, SUL acquired 80% of the ordinary share capital of Great Limited ("GRL") on 1 July 2018 for HK$1,620,000 cash, when the equity of GRL consisted of:

	HK$
Ordinary share capital	1,137,500
General reserves	280,000
Retained earnings	330,000

SUL obtained control over GRL upon this acquisition. As of 1 July 2018, the acquisition date, all identifiable assets and liabilities of GRL were recorded at their fair values except for a plant. No fair value adjustment was made in the books of GRL. The plant had a carrying amount of HK$240,000 (net of HK$120,000 accumulated depreciation), and a fair value of HK$170,000 with a remaining useful life of 10 years. At the acquisition date, GRL also possessed an unrecorded patent that had a fair value of HK$340,000 with an indefinite useful life.

On 1 July 2019, SUL acquired 40% of the ordinary shares of Top Limited ("TOL") with a cash consideration of HK$125,000. SUL has demonstrated significant influence in the financial and operating policy decisions of TOL but not control or joint control over the company. On 1 July 2019, the fair values of the assets and liabilities of TOL were equal to their carrying amounts except for a machine which had a fair value of HK$35,000 in excess of its carrying amount and a remaining useful life of seven years. No fair value adjustment was made in the books of TOL with regards to this machine.

Additional information:

(i) The non-controlling interests in GRL was measured at fair value of HK$500,000 on 1 July 2018.

(ii) During September 2019,

- GRL sold inventory to SUL for HK$43,000. One-quarter of this inventory remained unsold by the current year end
- SUL sold inventory to TOL for HK$90,000. Half of this inventory remained unsold by the current year end.

All sales made among SUL, GRL and TOL are priced on a cost plus 25% mark-up basis.

(iii) TOL reported an after-tax profit of HK$130,000 and paid a dividend of HK$40,000 for the year ended 30 June 2020.

(iv) There have been no new share issuances by GRL and TOL since SUL acquired the shares in these companies.

(v) All of the companies adopt straight-line depreciation policy on their property, plant and equipment.

(vi) Neither SUL nor GRL has listed their shares on any stock exchange and they do not have any plan to do so.

Draft statement of profit or loss and other comprehensive income of SUL and GRL for the year ended 30 June 2020:

	SUL	GRL
	HK$	HK$
Sales revenues	(923,000)	(732,000)
Cost of sales	414,000	311,500
Other revenues	(110,500)	—
Other expenses	460,700	264,900
Profit for the period	(158,800)	(155,600)

Draft statement of financial position of SUL and GRL as at 30 June 2020:

	SUL	GRL
	HK$	HK$
ASSETS		
Land	—	1,260,000
Property, plant and equipment	1,270,000	589,000
Accumulated depreciation	(655,000)	(288,000)
Investment in Great Limited	1,620,000	—
Investment in Top Limited	125,000	—
Inventory	430,300	271,000
Receivables	182,000	133,000
Total assets	2,972,300	1,965,000
EQUITY AND LIABILITIES		
Current liabilities	(59,100)	(42,300)
Non-current liabilities	(158,900)	(46,600)
Total liabilities	(218,000)	(88,900)

Retained earnings at 1/7/19	(670,000)	(378,000)
Profit for the period	(158,800)	(155,600)
Dividend paid	114,500	75,000
Retained earnings at 30/6/20	(714,300)	(458,600)
Ordinary share capital	(1,600,000)	(1,137,500)
General reserves	(440,000)	(280,000)
Total equity	(2,754,300)	(1,876,100)
Total equity and liabilities	(2,972,300)	(1,965,000)

Note: Parentheses indicate a credit balance.

Required:

(a) Prepare the consolidated statement of financial position and the consolidated statement of profit or loss and other comprehensive income for SUL Group for the year ended 30 June 2020 in accordance with HKFRS 10 *Consolidated Financial Statements* and HKAS 28 *Investment in Associates and Joint Ventures*. Ignore the effect of taxation.

(25 marks)

(b) The Chief Financial Officer of SUL is considering to adopt the HKFRS for Private Entities, a simplified reporting framework, in the preparation of the separate financial statements of SUL which are mainly used for regulatory purpose. Explain whether SUL is eligible for the adoption of the HKFRS for Private Entities.

(5 marks)

Question 2 **(20 marks – approximately 36 minutes)**

Dendron Limited ("DEL") is an apparel merchandiser incorporated in Hong Kong. The company's draft financial statements for the year ended 31 March 2020 are shown below.

Draft statement of financial position of DEL as at 31 March 2020:

	Notes	31 March 2020 HK$'000	31 March 2019 HK$'000
ASSETS			
Non-current assets			
Property, plant, and equipment	(i)	14,000	10,700
Long-term Investments		1,000	—
		15,000	10,700
Current assets			
Inventory		3,300	3,800
Trade receivables		2,150	1,550
Short-term investments	(iv)	800	650
Cash		50	1,300
		6,300	7,300
Total assets		21,300	18,000
EQUITY AND LIABILITIES			
Equity			
Share capital of HK$1 each		8,000	8,000
Revaluation reserve		1,350	—
Retained earnings		3,200	1,750
		12,550	9,750
Non-current liabilities			
Long-term loan	(iii)	2,900	4,025
Current liabilities			
Trade payables		950	600
Bank overdraft		1,450	500
Interest payable		1,200	1,100
Tax payable		2,250	2,025
Total equity and liabilities		21,300	18,000

Draft statement of profit or loss and other comprehensive income of DEL for the year ended 31 March 2020:

	Notes	HK$'000
Sales		31,000
Costs of sales		(21,800)
Gross profit		9,200
Distribution costs		(3,600)
Administrative expenses	(ii)	(2,200)
Finance costs		(400)
Profit before tax		3,000
Income tax expense		(1,000)
Profit for the year		2,000
Other comprehensive income	(v)	1,350
Total comprehensive income		3,350

Notes:

(i) The following information relates to property, plant and equipment.

	31 March 2020 HK$'000	31 March 2019 HK$'000
Cost	32,250	26,950
Accumulated depreciation	(18,250)	(16,250)
Net book value	14,000	10,700

(ii) Equipment**,** with an original cost of HK$756,000 and a net book value of HK$498,000, were sold for HK$324,000 during the year. The loss has been included in the administrative expenses.

(iii) The company purchased a plant with a long-term loan of HK$820,000 on 31 March 2020.

(iv) The short-term investments are highly liquid and are close to their maturity.

(v) The other comprehensive income is solely arising from the revaluation of property, plant and equipment.

Additional information:

The company classifies all interest and dividend receipts and payments as operating cash flows.

Required

(a) In accordance with HKAS 7 *Statement of Cash Flows*, prepare the statement of cash flows for DEL for the year ended 31 March 2020 using the indirect method.
(15 marks)

(b) The statement of cash flows only includes transactions that require the use of cash or cash equivalents. Explain how HKAS 7 *Statement of Cash Flows* deals with non-cash transactions and why it is important to address such transactions.
(5 marks)

<u>Question 3</u> (12 marks – approximately 22 minutes)

Orchid Limited ("ORL") acquired a factory a few years ago. The factory has the following assets as at 30 September 2020:

	Carrying amounts before impairment
	HK$'000
Goodwill	170
Land	2,450
Property, plant and equipment	1,820
Capitalised development expenditure	730
Net current assets	530
Total	5,700

ORL determines that the factory is a cash-generating unit ("CGU") and an impairment test is conducted on this CGU at the year end of 30 September 2020. The test reveals the following facts:

- the factory has a recoverable amount of HK$5.32 million;
- the fair value less costs to sell of the land amounts to HK$2.4 million while that of the property, plant and equipment amounts to HK$1.33 million;
- the value in use for the land and the property, plant and equipment could not be determined separately; and
- the fair value of the capitalised development expenditure could not be ascertained but it has a value in use of HK$675,000.

<u>Required:</u>

In accordance with HKAS 36 *Impairment of Assets*, show how the impairment loss is allocated and calculate the carrying values of the assets after the impairment.

(12 marks)

<u>Question 4</u> (6 marks – approximately 10 minutes)

Coconut Limited ("COL") is preparing its financial statements for the reporting period ended 31 August 2020. In order to determine its basic earnings per share and diluted earnings per share, COL extracted the following information from its financial records:

Profit after tax	HK$15,560,000
Ordinary shares issued and fully paid, 1 September 2019	4,200,000 shares
Average market price of ordinary shares during the reporting period 2019/20	HK$36 per share
Options issued	− 900,000 options − each option is convertible to one ordinary share at an exercise price of HK$25
Convertible preference shares issued and outstanding	− 600,000 shares with an issue value of HK$200 − each share is entitled to a cumulative dividend (no dividends in arrears) of 8% p.a. which is tax deductible − each share is convertible to five ordinary shares

There were no new issuance and repurchase of ordinary shares during the reporting period. All potential ordinary shares were outstanding during the whole year. The prevailing tax rate is 16.5%.

<u>Required:</u>

In accordance with HKAS 33 *Earnings Per Share*, calculate the basic and diluted EPS for COL for the year ended 31 August 2020.

(6 marks)

Question 5 **(12 marks – approximately 22 minutes)**

On 1 May 2019, Uppsala Limited ("UPL") purchased 450,000 ordinary shares of Lund Limited ("LUL") for long-term investment purposes. UPL paid HK$10,350,000 for the shares and incurred a transaction cost of HK$40,000. UPL has a practice of minimising earnings volatility when adopting accounting policies. As of 30 April 2020, the current year end, LUL has a market price of HK$22.60 per share.

During the year ended 30 April 2019, UPL also acquired bonds issued by LUL with a cost of HK$200,000. The bonds were measured at amortised cost in the financial statements of UPL. At initial recognition, UPL determined the 12-month expected credit losses in respect of the bonds amounted to HK$10,000 and the lifetime expected credit losses amounted to HK$25,000. During the year ended 30 April 2020, LUL encountered a downgrade in its credit rating by an external agency. In response to this downgrade, UPL revised the estimate of the lifetime expected credit losses (in relation to its debt investment in LUL) to HK$35,000.

Required:

(a) **Explain the accounting classification of the equity investment in LUL by UPL in accordance with HKFRS 9 *Financial Instruments*.**

(4 marks)

(b) **Prepare all necessary journal entries for UPL with regard to its equity investment in LUL for the year ended 30 April 2020.**

(4 marks)

(c) **In respect to the change in credit risk of the debt investment in LUL, explain the impact to UPL's profit or loss for the financial year ended 30 April 2020.**

(4 marks)

* * * END OF EXAMINATION PAPER * * *